Lucky Cement Limited

LUCK | Cement

AI Investment Research Report | 2026-06-08 12:00

ACCUMULATE

Current Price	Target Range	Upside Potential	Time Horizon	Conviction
PKR 431.50	PKR 525 - 630	+33.7%	Medium Term	7/10

Market Cap	P/E Ratio	P/B Ratio	Beta	ROE
PKR 135.0B	12.3x	1.35x	0.85	22.0%

EXECUTIVE SUMMARY

Lucky Cement (LUCK) presents a compelling investment case with strong fundamentals, dominant market position and attractive valuation. Revenue grew 18% YoY reaching PKR 120B. Net profit margin improved to 12% with ROE of 22%.

Position Advice: Accumulate on dips below PKR 430. Target initial position at 3-4% of portfolio.

INVESTMENT CATALYSTS	KEY RISKS
+ Expansion capacity coming online Q3-FY26	- Cement price wars among industry players
+ Export volumes to Afghanistan recovering	- High gas tariffs impacting margins
+ Energy cost reductions from WHR plants	- Construction slowdown risk

FINANCIAL ANALYSIS

Income Statement

(Financial statement tables are populated from Firestore when this report is generated on the live server. See the AI-derived fundamental assessment below.)

Valuation Ratios & Financial Metrics

P/E Ratio	12.3x	**Earnings Growth**	8.0%
P/B Ratio	1.35x	**Debt/Equity**	0.1x
ROE	22.0%	**Current Ratio**	2.10x
ROA	12.0%	**Beta**	0.85
Profit Margin	12.0%	**Free Cash Flow**	PKR 8.0B
Operating Margin	18.0%	**EBITDA**	PKR 28.8B
Revenue Growth	18.0%		

Fundamental Analysis -- Detailed Assessment

Valuation	Financial Health	Growth Outlook	Moat	Confidence
UNDERVALUED	STRONG	MODERATE GROWTH	WIDE	8/10

Lucky Cement demonstrates strong operational efficiency with EBITDA margin of 24%. The company has no significant debt burden with D/E of 0.15x. ROE of 22% is best-in-sector. Free cash flow positive at PKR 8B. Book value PKR 320/share implies P/B of 1.35x -- attractive for a wide-moat cement producer.

Estimated Fair Value Range: PKR 525 -- PKR 630

FUNDAMENTAL STRENGTHS	KEY CONCERNS
+ Dominant 15% market share in cement	- Zero dividend payout despite strong profits
+ Lowest cost producer in industry	- Cyclical exposure to construction
+ Net cash balance sheet	- Capex-heavy expansion phase

TECHNICAL ANALYSIS

Trend Direction	Trend Strength	Entry Zone (PKR)	Stop Loss (PKR)	Confidence
SIDEWAYS	Weak	428.00 - 432.00	418.00	5/10

LUCK is consolidating in a sideways range between 420-445. RSI at 48 showing neutral momentum. MACD slightly negative. Needs volume confirmation for breakout above 445 resistance.

Key Price Levels

Support Levels (PKR)	Resistance Levels (PKR)
428.82 | 419.87	444.44 | 451.72

Technical Indicators

RSI(14)	48	Neutral - neither overbought nor oversold
MACD	-0.82	Slightly bearish signal, momentum flat
SMA50	438.5	Price below 50-DMA, mild resistance

MARKET & SECTOR CONTEXT

KSE-100 Index: 112,450 (+0.8%)
Sector: Cement
Industry dispatches flat YoY
Top performers: LUCK, MLCF, DGKC

SENTIMENT ANALYSIS

Overall Sentiment	Sentiment Score	News Volume	Confidence
NEUTRAL	0	LOW	5/10

Limited recent news coverage. Company last reported results in April 2026.

Key Sentiment Drivers

* Capacity expansion underway
* Export market recovery

POSITIVE CATALYSTS	NEGATIVE CATALYSTS
+ New WHR plant commissioned	- Cement dispatches flat YoY

Company News & Announcements

No recent news articles were retrieved for this ticker. This is common for less actively covered stocks or when the news feed is offline.

RISK ASSESSMENT

Risk Level	Risk Score	Max Position	Stop Loss %	Confidence
HIGH	7/10	5%	10%	9/10

Elevated risk due to cyclical industry exposure and current macro uncertainty. Position sizing should be conservative.

Identified Risk Factors

Cement price competition	HIGH	Overcapacity across industry leading to price pressure
Energy costs	MEDIUM	Gas and power tariffs remain elevated

INVESTMENT DEBATE: BULL vs BEAR

BULL CASE: "Cheap valuation with strong balance sheet makes LUCK a compelling long"	*BEAR CASE: "Cyclical downturn and price wars will compress margins further"*

BULL ARGUMENTS	BEAR ARGUMENTS
Attractive valuation Trading at 1.35x book vs historical avg of 2.0x	**Industry overcapacity** Capacity utilization at 65%, lowest since 2015
Net cash balance sheet PKR 15B net cash provides downside protection	**Margin compression** EBITDA margin down 300bps YoY

FINAL VERDICT

Recommendation	ACCUMULATE	**Valuation**	UNDERVALUED
Time Horizon	Medium Term	**Price Target**	PKR 525 - 630
Conviction	7/10	**Upside Potential**	+33.7%
Risk Level	HIGH	**Max Position**	5%

DISCLAIMER